

Export Edge Pays Off

A sharp rise in profit after tax catapulted the aluminium manufacturer into a league of listed companies reporting the quickest growth in profits in FY25

By **TINA EDWIN**



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COMMODITY CYCLES WIELD enormous influence on natural resources companies, with elevated prices boosting topline and profits. Public sector enterprise National Aluminium Company Ltd (NALCO) was a standout gainer from the sharply higher aluminium prices in 2024-25 (FY25). Together with measures to make the production cycle more efficient and cost reduction, the government-owned enterprise reported vastly improved financial performance. Its profit after tax (PAT) jumped an unprecedented 167.8% to ₹5,325 crore for the year ended March 31, 2025, even though its revenue from operations at ₹16,788 crore grew at relatively moderate rate of 27.7%.

This sharp rise in PAT catapulted the fully integrated aluminium manufacturer into a league of listed companies reporting the quickest growth in profits that year. It is also among the top 100 most profitable companies in the listed universe analysed by *Business Today*.

The company's strong performance continued into the first quarter of the current financial year, with PAT growth outpacing the rise in revenue from operations. PAT soared 77% in the Q1FY26 to ₹1,064 crore from ₹601 crore from a year ago. Revenue from operations climbed 33% to ₹3,807 crore from ₹2,856 crore, even though the price of alumina has normalised from the levels seen in the preceding two quarters.

ELEVATED COMMODITY PRICES

Exports are a key driver of Nalco's earnings. The PSU miner exports alumina and aluminium ingots. Prices of alumina and aluminium rose sharply during the last financial year, particularly in the third quarter when it rose to a peak of \$690 per tonne. The company reported that it managed to fetch \$595 per tonne of alumina it exported in 2024-25 against \$380 in the preceding year.

The London Metal Exchange (LME) aluminium rates were also supportive. The management estimates that it earned additional revenue of ₹2,000 crore due to higher alumina prices and ₹1,700 crore due to elevated spot rates on the LME. Plans are afoot to increase wire rod manufacturing capacity and set up a facility for making foil products in the next 2-3 years.